ROYALTYOS / CONTRACT PARSING TEST SUITE

Four-Party Tiered Royalty & Recoupment Waterfall Agreement

A reserve-aware waterfall with senior recoupment credits and cumulative lifetime split tiers.

SYNTHETIC TEST DOCUMENT

The parties, addresses, thresholds, balances, formulas, and payments in this document are fictional test data. This document is designed to exercise contract extraction and payout-calculation logic. It is not legal, tax, accounting, or investment advice and should not be signed or relied on as an operative agreement.

PARTIES AND CANONICAL ROLE KEYS

RoyaltyOS party key	Contract role	Payout email supplied in test screen
ARTIST	Artist	sb-chtub531737750@business.example.com
FEATURED_CREATOR	Featured Creator	sb-chtub531737750@business.example.com
MANAGER	Manager	sb-evnqd5317862@personal.example.com
PRODUCER	Producer	sb-evnqd5317862@personal.example.com

Document metadata	Value
Test ID	ROS-01
Calculation model	60% priority recovery; residual split changes after recoupment and at two lifetime allocation thresholds.
Primary stress case	Recoupment completes mid-statement; reserve release enters the pool; royalty tier is determined only from opening-state counters.
Currency / statement cadence	USD / monthly close unless a clause expressly defines a quarterly measurement window
Named recipients	Artist, Featured Creator, Manager, Producer only

Use each PDF as an independent contract scenario. Do not merge a balance, threshold counter, reserve ledger, or payout history from one PDF into another.

1. Parties, project scope, and identity keys

This synthetic agreement governs only receipts attributed to one shared project, referred to as the Project. The four parties are the Artist (ARTIST), Featured Creator (FEATURED_CREATOR), Manager (MANAGER), and Producer (PRODUCER). These canonical role keys are the authoritative identities for payout calculations. The email field is only a payout destination. Duplicate payout emails must not cause distinct role keys to be merged.

No other individual or entity is a royalty participant or beneficiary under this test agreement. Platforms, payment processors, and tax authorities may appear only as sources of deductions, payors, or remittance destinations; they do not receive contractual royalty shares.

2. Definitions and statement variables

Core defined variables

Symbol	Definition
G_t	Cash receipts actually collected and cleared for the Project during statement t, before deductions.
D_t	Permitted deductions for t: transaction taxes actually remitted, refunds and chargebacks posted, platform/distribution/payment processing fees, and documented approved direct Project expenses. Approved direct expenses in a statement are capped at 15% of G_t.
N_t	Net Receipts after deductions. Negative net receipts are floored at zero; refund/chargeback corrections posted later are charged to the statement in which posted.
H_t	New reserve holdback funded in statement t.
U_t	Reserve amounts released from prior statement cohorts during statement t.
P_t	Available Pool for the waterfall after current holdback and prior reserve releases.
B_t	Aggregate open Recoupment Ledger balance immediately before statement t, after no current-statement recovery.
R_t	Amount applied to priority recoupment during t.
Q_t	Royalty Pool remaining for percentage allocation after recoupment.
C_t	Lifetime Royalty Allocation Base: sum of Q for all prior statements, whether or not the Recoupment Ledger was open.

Receipt and pool formulas

```
N_t = max(0, G_t - D_t)
H_t = min(0.08 * N_t, max(0, $30,000 - (ReserveBalance_open - U_t)))
P_t = N_t - H_t + U_t
R_t = min(0.60 * P_t, B_t)
Q_t = P_t - R_t
C_(t+1) = C_t + Q_t
```

Approved direct expenses must be evidenced by a dated invoice or ledger entry and are capped at 15% of the statement gross receipts. Other permitted deductions are not subject to this direct-expense cap, but must be actual, traceable, and not duplicated. If a deduction is later reversed, the reversal is credited in the statement in which the reversal is received.

3. Reserve mechanics

The reserve is funded at 8% of N_t until the reserve balance reaches $30,000. A new holdback is not funded beyond the remaining cap. Each held cohort releases 70% when it reaches 120 calendar days old and the remaining 30% when it reaches 240 calendar days old, net of a directly attributable unresolved chargeback. A delayed release moves to the next statement after the release condition is met; it is not forfeited.

U_t is added to P_t and is not subject to a second reserve deduction. Reserve release does not itself count as new Net Receipts; it only returns previously withheld cash to the waterfall.

4. Priority recoupment ledger

The opening synthetic ledger is $45,000 in total. These entries represent documented Project advances or approved costs financed by the named party; each recovered dollar is paid to the corresponding named party as recovery of that credit, separately tracked from that party's royalty share.

Opening Recoupment Ledger

Priority	Credit owner	Opening recoverable balance	Recovery order
1	Producer	$15,000	First; recover accrued principal credit until zero.
2	Artist	$12,000	Second; recover after Producer is cleared.
3	Featured Creator	$8,000	Third; recover after Artist is cleared.
4	Manager	$10,000	Fourth; recover after Featured Creator is cleared.
	TOTAL	$45,000	Interest-free; no balance may fall below zero.

R_t is allocated sequentially in the table order. If R_t is greater than the amount needed to clear the remaining ledger, the excess is not retained by a credit owner; because R_t is defined as the lesser of 60% of P_t and B_t, that excess remains in Q_t for royalty allocation in the same statement. No recoupment interest accrues.

5. Split states and transition precedence

The split for a statement is selected once, using state values immediately before the statement opens. A ledger that is reduced to zero during the statement does not change the split for that same statement. All changes are prospective and are never retroactively applied to prior statements.

Royalty Pool split matrix

State at statement open	Artist	Featured Creator	Manager	Producer
Recoupment Ledger B_t > $0	40%	25%	15%	20%
B_t = $0 and C_t < $250,000	46%	22%	13%	19%
B_t = $0 and $250,000 <= C_t < $750,000	50%	20%	12%	18%
B_t = $0 and C_t >= $750,000	54%	18%	10%	18%

If B_t > $0, apply the Recoupment-state split regardless of C_t. If B_t = $0, apply exactly one cumulative tier: the lower boundary is inclusive and the upper boundary is exclusive except for the final open-ended tier. C_t advances by Q_t after the statement calculation.

6. Worked statement: recoupment clears during the month

Example calculation

Input / step	Amount or operation	Expected result
Gross receipts G_t	$100,000.00	Collected cash before deductions
Deductions D_t	$10,000.00	Includes $6,000 fees, $1,000 taxes/refunds, and $3,000 approved expenses
Net Receipts N_t	$100,000 - $10,000	$90,000.00
Reserve holdback H_t	8% x $90,000	$7,200.00 (assume cap has room)
Reserve release U_t	Matured prior cohorts	$3,000.00
Available Pool P_t	$90,000 - $7,200 + $3,000	$85,800.00
Opening ledger B_t	Synthetic opening balance	$45,000.00
Recoupment R_t	min(60% x $85,800, $45,000)	$45,000.00
Royalty Pool Q_t	$85,800 - $45,000	$40,800.00
Split state	B_t was positive at statement open	40 / 25 / 15 / 20
Artist payout	40% x $40,800	$16,320.00
Featured Creator payout	25% x $40,800	$10,200.00
Manager payout	15% x $40,800	$6,120.00
Producer payout	20% x $40,800	$8,160.00

Expected invariants

The four royalty payouts sum to $40,800.00. Total recoupment credits paid equal $45,000.00. The closing recoupment balance is $0.00, but the 40/25/15/20 split remains in force for this statement because the opening balance was positive.

7. Statement, payment, error, and dispute rules

- A statement is issued monthly within 15 calendar days after month-end and shows gross receipts, each deduction category, reserve additions/releases by cohort, recoupment opening balance and payments by credit owner, C_t, split state, and each royalty calculation.
- Amounts owed to a party are paid within 10 business days after the statement is issued. If a party’s net payable amount is below $100, that party’s amount carries forward in that party’s own payable account; it is not redistributed to other parties.
- A calculation objection must identify the statement line and proposed correction within 30 calendar days. Undisputed amounts remain payable. A confirmed arithmetic error is corrected in the next statement without changing the originally effective split state.
- No unilateral amendment is effective. Any change to a percentage, cap, trigger, party key, or priority order requires written approval by all four parties.

8. RoyaltyOS test vectors

Required unit tests

Case	Inputs	Expected result
A - recovery-limited	P=$20,000; B_open=$5,000	R=$5,000; Q=$15,000; no negative ledger
B - 60% cap binds	P=$20,000; B_open=$50,000	R=$12,000; Q=$8,000
C - phase lock	B_open=$1; P large enough to clear it	Use 40/25/15/20 for this statement; post-recoupment state starts next statement
D - tier lower boundary	B_open=$0; C_open=$250,000	Use 50/20/12/18, not 46/22/13/19
E - tier upper boundary	B_open=$0; C_open=$750,000	Use 54/18/10/18

SIGNATURES / TEST FIXTURE ACKNOWLEDGMENT

The signature area exists to test extraction of named signatories and execution blocks. No signature is populated, and the conspicuous synthetic-test designation overrides any appearance of legal execution.

Canonical party key	Authorized signature	Date
ARTIST	_____	_____
FEATURED_CREATOR	_____	_____
MANAGER	_____	_____
PRODUCER	_____	_____